

# THE DAILY FINANCE BRIEF

Financial News in Plain English

Friday, July 31, 2026

Edition No. 21

Personalised for Rishabh Srinivasan

## ECONOMY

# Federal Reserve Keeps Interest Rates Steady Despite Inflation Worries

**T**he Federal Reserve (the U.S. central bank that controls interest rates) decided to keep interest rates unchanged at 3.5%-3.75% during its July 2026 meeting. This decision comes as inflation (the general rise in prices of goods and services over time) continues to be a concern, particularly due to rising oil prices linked to the U.S.-Iran conflict.

While some members of the Federal Reserve wanted to increase rates to combat inflation, the majority agreed to maintain the current rates. This decision reflects a cautious approach, as the Fed aims to keep inflation around a target of 2%. For everyday people, this means that borrowing costs for loans and mortgages will remain stable for now, but inflation could still affect prices in stores.

Source: Kiplinger

## MARKETS

### Stock Markets Hit Record Highs Thanks to Technology Boom

The S&P 500 (an index that tracks the stock prices of 500 large U.S. companies) and Nasdaq Composite (an index that focuses on technology stocks) reached all-time highs on July 31, 2026. This surge was driven by strong performances in the technology sector, particularly in artificial intelligence and semiconductor companies.

For everyday investors, this means that if they have investments in these sectors, they may see positive returns. However, it also highlights the importance of being aware of market trends and the potential for volatility (rapid changes in prices) in the stock market.

Source: Kiplinger

### Cryptocurrency Prices Fluctuate Due to Regulatory Concerns

On July 31, 2026, the prices of Bitcoin and Ethereum (two popular cryptocurrencies) experienced significant ups and downs. Bitcoin's price dropped by 1.76% to \$63,685, while Ethereum's price was around \$1,624.95. These fluctuations are largely due to uncertainty surrounding potential regulations (rules set by authorities) affecting cryptocurrencies.

For everyday investors, this highlights the risks associated with investing in cryptocurrencies, as prices can change rapidly based on news and regulatory developments.

Source: Kiplinger

## Global Economy Affected by War and Technology Trends, Says IMF

The International Monetary Fund (IMF), an organization that monitors the global economy, reported that the world economy is facing challenges from conflicts and technological advancements. Despite these issues, corporate earnings (profits made by companies) have remained strong, helping to stabilize financial systems.

The IMF's report highlights that while some regions are struggling due to geopolitical tensions, others, particularly those focused on technology, are thriving. This means that while some jobs may be at risk due to conflict, opportunities in technology sectors are growing, which could benefit workers in those fields.

*Source: International Monetary Fund*

## COMPANIES

## Tech Companies Report Strong Earnings Thanks to AI Investments

Major technology companies, including Microsoft, reported impressive earnings for the second quarter of 2026, driven by increased investments in artificial intelligence (AI). Microsoft saw a 39% growth in sales for its cloud computing services, indicating a strong demand for AI technologies.

This trend suggests that as companies continue to invest in AI, it could lead to job creation and new opportunities in the tech sector, benefiting workers in those fields.

*Source: UBS*

## Government Shutdowns Due to Delayed Federal Budget

The U.S. federal budget for 2026 faced delays, leading to government shutdowns in late 2025 and early 2026. These shutdowns occurred when the government could not agree on spending plans, impacting various services and operations.

For everyday citizens, government shutdowns can affect services they rely on, such as public transportation, national parks, and various government programs, highlighting the importance of effective budgeting.

*Source: Wikipedia*

## Understanding Forward Guidance: What It Means for You

Forward guidance is a communication tool used by central banks, like the Federal Reserve (the U.S. central bank that controls interest rates), to inform the public about future monetary policy intentions. Recently, the Federal Reserve announced it would stop using this tool, which could lead to increased market volatility (rapid changes in prices).

This change is important because it means that investors will need to rely more on market signals rather than official guidance, which can affect their investment decisions and the economy as a whole.

*Source: Kiplinger*

THE DAILY FINANCE BRIEF · Edition No. 21

*Generated by AI · Not financial advice*

Friday, July 31, 2026